

FRANCHISE DISCLOSURE DOCUMENT

(Master Pan-Canadian Template)

Franchisor: Y2C Holdings Inc. (주식회사 와이투씨홀딩스)

Address: Gwang-an Daewoo I-Vill, 39 Gwang-an-ro 62beon-gil, Suyeong-gu, Busan, Republic of Korea

Date of Issuance: _____

Target Jurisdiction: Province of _____, Canada

RISK WARNING / NOTICE TO PROSPECTIVE FRANCHISEES

A commercial franchise is a business investment. A franchise agreement is a legally binding contract that may pose significant financial risks.

Before you sign a franchise agreement or pay any money, you should carefully read this Franchise Disclosure Document (FDD). You are strongly advised to seek independent legal and financial advice.

Under applicable Canadian provincial franchise legislation (including, where applicable, the Franchises Act of British Columbia, Alberta, Manitoba, New Brunswick, and Prince Edward Island, and the Arthur Wishart Act of Ontario), Y2C Holdings Inc. must provide you with this document at least **14 days** before you sign any contract or pay any money to the franchisor or its affiliates.

Item 1. The Franchisor

The Franchisor is Y2C Holdings Inc., a corporation established under the laws of the Republic of Korea ("Franchisor", "we", "us", or "our"). We operate directly from South Korea without a local Canadian subsidiary or branch. We have been granted the Master Franchise Rights by Sinjeon Food Sys (the original trademark owner in Korea) to establish, operate, and grant sub-franchises for "Sinjeon Tteok-bokki" restaurants in Canada.

Item 2. Business Experience of Directors and Officers

Yoon-ji Lee, Director: Ms. Lee oversees global franchise expansion and operations. She brings extensive professional experience in global Supply Chain Management (SCM) and North American business operations. Her expertise ensures that overseas franchisees receive robust logistical support, optimal ingredient sourcing, and localized operational strategies.

Item 3. Litigation and Bankruptcy

Neither Y2C Holdings Inc. nor any of its directors or officers are currently involved in any material litigation, arbitration, or bankruptcy proceedings in Canada, the Republic of Korea, or any other jurisdiction.

Item 4. Initial Franchise Fee and Initial Investment

The Franchisee is required to pay the following initial fees directly to the Franchisor via international wire transfer.

[Gross-up / Net Payment Clause]: All payments must be made free and clear of, and without deduction or withholding for, any taxes, bank fees, or foreign exchange losses. If Canadian tax law requires any withholding (such as Part XIII tax), the Franchisee must gross up the payment so that the Franchisor receives the exact Net amount stated below.

- **Initial Franchise Fee:** KRW 40,000,000 (Non-refundable except in the case of Franchisor's material breach).
- **Initial Education Fee:** KRW 5,000,000 (Non-refundable).
- **Logistics Security Deposit:** CAD \$5,000 to \$20,000 (Refundable). Depending on the designated regional supply chain structure, this deposit will be collected directly by the Franchisor or requested by an authorized local B2B logistics distributor. It is fully refundable upon expiration or termination of the agreement, subject to any outstanding deductions for unpaid invoices or breaches related to the procurement of mandatory ingredients.

Note: The estimated costs for local build-out, leasehold improvements, equipment (e.g., burners, exhaust), and operating capital in Canada vary by location. Estimated ranges (CAD \$30,000 - \$80,000+) are attached as Exhibit A based on standard prevailing rates.

Item 5. Ongoing Fees (Management Services)

Management & Support Fee: 4% of Gross Sales per month.

This fee is strictly designated as a Management Services Fee (Business Income) and not a trademark royalty. It compensates the Franchisor for remote professional services provided directly from South Korea, including but not limited to:

- Global franchise operational consulting and management.
- North American market-specific R&D (Menu & Recipe localization).
- Supply Chain Management (SCM) optimization and logistics support.
- Global marketing strategy and IT/POS system remote maintenance.

**The Net Payment / Gross-up Clause outlined in Item 4 applies equally to all ongoing Management & Support Fees.*

Item 6. Territory

The Franchisee is granted an exclusive territory of a _____ radius from the specific "Approved Location" designated in the Franchise Agreement. The Franchisor will not establish or grant a franchise to another party within this exclusive territory during the term of the agreement.

Item 7. Obligation to Purchase

To maintain the brand's uniformity and quality standards, the Franchisee must purchase designated proprietary ingredients and supplies exclusively from the Franchisor or suppliers approved by the Franchisor. The mandatory purchase list includes, but is not limited to: Frozen Wheat Flour Cake, Seasoning Powders (Original/Spicy), and Various Frozen Fried Items & Corn Dogs. Details of the approved supplier list and quality control standards will be provided in the Operations Manual.

Item 8. Term, Renewal, and Dispute Resolution

- **Initial Term:** 3 Years.
- **Renewal:** The agreement does not automatically renew. A new agreement may be negotiated with a potential 20% discount on the new initial franchise fee.
- **Dispute Resolution & Governing Law:** The Franchise Agreement is governed by the laws of the Republic of Korea. All disputes shall be finally settled by binding arbitration in Seoul, Republic of Korea, in accordance with the International Arbitration Rules of the Korean Commercial Arbitration Board (KCAB). The prevailing party shall be entitled to recover reasonable attorneys' fees and costs. The award is legally binding and enforceable in Canada.

Item 9. Financial Statements

Below is the summary of Y2C Holdings Inc. financial status for the fiscal year ended Dec 31, 2025:

- **Total Assets:** KRW 297,931,073
- **Total Liabilities:** KRW 206,083,177
- **Total Equity:** KRW 91,847,896
- **Net Income:** KRW 5,914,229

[Drafting Note: Attach the full Financial Statements as Exhibit B].

CERTIFICATE OF FRANCHISOR

I certify that the information provided in this Franchise Disclosure Document, including all exhibits and attachments, is true, accurate, and complete. To the best of my knowledge, it does not contain any untrue statement of a material fact or omit a material fact required to be stated to prevent the statements contained herein from being misleading.

Y2C Holdings Inc.

Date:

By: _____

Name: Yoon-ji Lee

Title: Director

RECEIPT OF FRANCHISE DISCLOSURE DOCUMENT

I, the undersigned Franchisee, acknowledge receipt of this Franchise Disclosure Document, including all exhibits and the Franchise Agreement, on the date indicated below.

I understand that the Franchisor is prohibited by law from accepting any money or executing any binding agreement until at least fourteen (14) days have passed from the date of this receipt.

Franchisee:

By: _____

Date of Receipt:

Name: _____

Title: _____